

# Kestrel Pet Nutrition

---

The fight at Kestrel Pet Nutrition was not about whether fresh refrigerated dog food was a real category. Everybody in the room agreed it was. The fight was about who was going to buy it.

Kestrel was a mid-sized premium pet food company built on dry kibble sold through independent pet specialty stores and, since 2021, through its own subscription channel. Revenue was \$310 million, of which the premium kibble line — the one sold at \$78 for a twenty-four-pound bag — accounted for \$186 million at a 41 percent contribution margin. That line was the company.

The proposal on the table was a fresh refrigerated line: gently cooked, sold frozen or chilled, at roughly three times the cost per feeding of the kibble. It required \$34 million of refrigerated production capacity and cold-chain equipment, seven-year MACRS property for tax. Marketing forecast revenue of \$28 million in the first year, rising to \$75 million by year five. Contribution margin on the fresh line would be 37 percent, lower than kibble because of the cold chain. Incremental fixed cash costs — a dedicated sales team, refrigerated warehouse leases, the cold-chain logistics contract — ran \$6.5 million a year.

Kestrel had spent \$2.4 million over the previous two years on consumer research and formulation work for the line. That spending was complete.

Two numbers were contested.

The first was cannibalization. Anwar Sethi, who ran the fresh initiative, had built the model assuming that 10 percent of fresh-line revenue would come out of Kestrel's own premium kibble. "We are recruiting new households into the category," Sethi argued. "The person who buys fresh is trading up from grocery-brand kibble, not from ours."

Lauren Petrosyan, who ran the kibble business and would own the revenue line that shrank, had a different view. She had pulled the subscription data: 71 percent of the households on the fresh waitlist were current Kestrel kibble subscribers. "Thirty-five percent, minimum," she said. "We are not recruiting. We are upgrading our own customers and charging ourselves the cold chain for the privilege."

The second contested number was corporate overhead. Kestrel's finance function allocated corporate costs — the executive team, the ERP system, the Chicago office — to divisions at 6 percent of divisional revenue. The fresh line's model carried that charge. Corporate headcount was not forecast to change if the line launched.

The capital committee met on the eighteenth.

## EXHIBIT 1 — FRESH LINE, BASE CASE

|                                                  | YR 1 | YR 2 | YR 3 | YR 4 | YR 5          |
|--------------------------------------------------|------|------|------|------|---------------|
| Fresh line revenue (\$m)                         | 28   | 45   | 60   | 70   | 75            |
| Initial capital investment                       |      |      |      |      | \$34.0m       |
| Depreciation                                     |      |      |      |      | 7-year MACRS  |
| Equipment resale value, end of year 5            |      |      |      |      | \$9.0m        |
| Fresh line contribution margin                   |      |      |      |      | 37%           |
| Incremental fixed cash costs, per year           |      |      |      |      | \$6.5m        |
| Premium kibble contribution margin               |      |      |      |      | 41%           |
| Corporate overhead allocation                    |      |      |      |      | 6% of revenue |
| Consumer research and formulation, spent 2024–25 |      |      |      |      | \$2.4m        |
| Tax rate                                         |      |      |      |      | 25%           |
| Cost of capital                                  |      |      |      |      | 10%           |

Working capital for the fresh line runs at 14 percent of revenue and is released at the end of the project's life.

Seven-year MACRS, by year of the schedule: 14.29, 24.49, 17.49, 12.49, 8.93, 8.92, 8.93, 4.46 percent. The schedule runs eight years for seven-year property because of the half-year convention, and it ignores salvage value entirely — the asset is written down to zero no matter what it is expected to fetch. The committee is evaluating the line over five years, so the equipment is sold at the end of year 5 and the remaining book value matters.

## ASSIGNMENT

- 1 Compute incremental after-tax operating cash flow for the fresh line in year 3 under Sethi's cannibalization assumption and under Petrosyan's. Ignore working capital for this question.
- 2 Recompute year 3 with the corporate overhead allocation included, at 10 percent cannibalization. What does the allocation do to the answer, and does it belong there?

- 3 Where does the \$2.4 million of research spending appear in your analysis?
- 4 Build the full five-year cash flow and compute NPV under each cannibalization assumption, including working capital. At what cannibalization rate is the project's NPV zero?
- 5 Petrosyan owns the kibble P&L and her bonus is written on it. Sethi owns the fresh initiative and his is written on that. Given the answer to question 4, what should the capital committee do about the incentive structure before it does anything about the project?